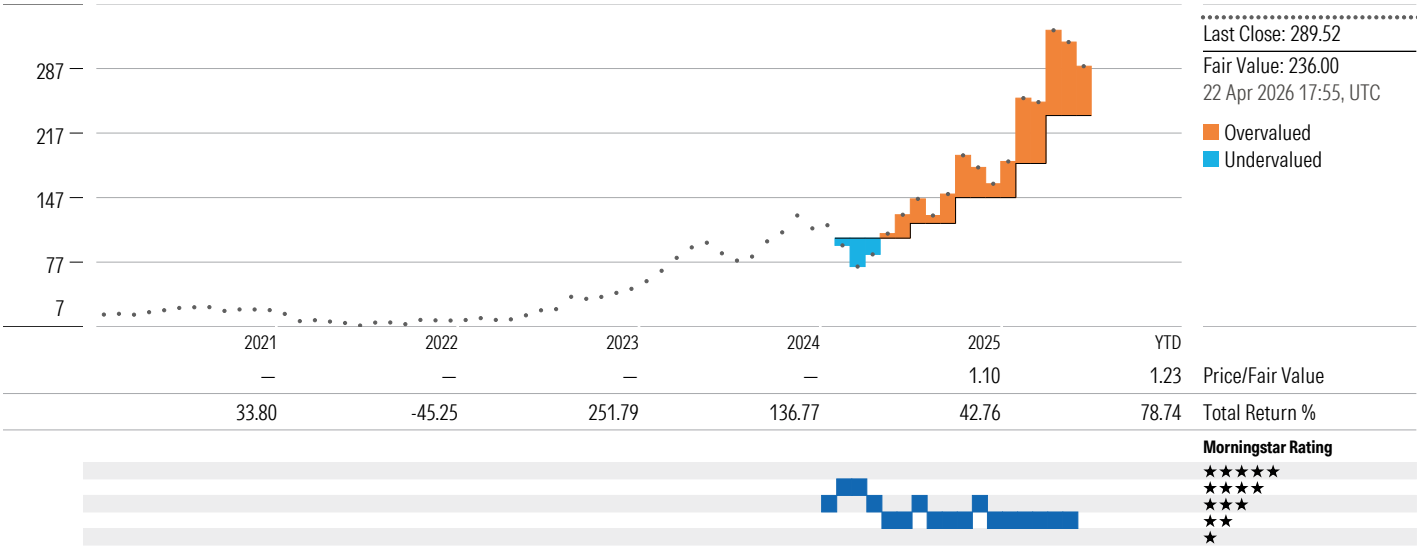
Vertiv Holdings Co Class A VRT ★★★ 10 Jun 2026 21:26, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
289.52 USD 9 Jun 2026	236.00 USD 22 Apr 2026 22:55, UTC	1.23	107.93 USD Bil 10 Jun 2026	Narrow	Large Growth	Very High	Standard

Price vs. Fair Value



Total Return % as of 09 Jun 2026. Last Close as of 09 Jun 2026. Fair Value as of 22 Apr 2026 17:55, UTC.

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The primary analyst covering this company does not own its stock.

'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Vertiv's Moat Is Strengthening as It Co-Develops Data Center Equipment With Leading Suppliers

Business Strategy & Outlook Nicholas Lieb, CFA, Equity Analyst, 22 Apr 2026

We view Vertiv as a pure-play on data center spending as it derives over 80% of revenue from the end market. Listed on the New York Stock Exchange in 2020, Vertiv has had a brief public history after being acquired by Platinum Equity from Emerson Electric in 2016. However, Vertiv originated in the mid-1900s when computer rooms first required precision cooling solutions.

The company holds a leading share in thermal and power management products within data centers and has built out a long-standing customer base over its lifespan. Vertiv's equipment is critical to the safe and continuous operation of the servers that run within data centers. On top of hardware sales, Vertiv offers a number of services to aid its customers such as maintenance, remote monitoring, and technical training. Its global cohort of field engineers works directly on customer sites, a dynamic customers value highly as downtime can be costly.

The company has done a great job at staying within its niches and filling in the gaps of its thermal and power management portfolios via acquisitions. It has slowly expanded its portfolio over time, amounting to one of the broadest data center offerings in the world. Vertiv's main product lines are becoming more technically complex over time, raising the likelihood that the firm wins aftermarket service contracts. Additionally, artificial intelligence-focused data centers necessitate tight

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Sector
Industrials

Industry
Electrical Equipment & Parts

Business Description

Vertiv has roots tracing back to 1946 when its founder, Ralph Liebert, developed an air-cooling system for mainframe data rooms. As computers started making their way into commercial applications in 1965, Liebert developed one of the first computer room air conditioning, or CRAC, units, enabling the precise control of temperature and humidity. The firm has slowly expanded its data center portfolio through internal product development and the acquisition of thermal and power management products like condensers, busways, and switches. Vertiv has global operations today; its products can be found in data centers in most regions throughout the world.

collaborations between leading equipment suppliers. Vertiv is therefore increasing its cadence of product co-developments with companies like NVIDIA and Caterpillar.

Bulls Say Nicholas Lieb, CFA, Equity Analyst, 22 Apr 2026

- Data center spending should be strong regardless of the development of AI as the runway remains vast for companies moving their data to the cloud for the first time.
- Vertiv is a great way for investors to gain exposure to the exponential production of data and its growing number of use cases.
- The firm's core product lines have remained relevant for upwards of six decades, indicative of their slow-moving pace of technological innovation.

Bears Say Nicholas Lieb, CFA, Equity Analyst, 22 Apr 2026

- Spending on data centers has become more volatile and less predictable. Estimating Vertiv's growth is therefore a highly erroneous exercise.
- Capital is pouring into the data center market because it is a high-growth industry, which has likely attracted unwanted competition where Vertiv plays.
- Vertiv's financial history is somewhat limited given that it has changed ownership a number of times between public and private entities.

Economic Moat Nicholas Lieb, CFA, Equity Analyst, 22 Apr 2026

We assign Vertiv a narrow economic moat rating based on intangible assets and to a lesser extent switching costs. The firm's financial history, even in recent years, is somewhat convoluted as it has been bought and sold by numerous public and private entities. However, Vertiv's operations trace back to the first half of the 1900s, and we have confidence that the company can generate returns on invested capital that exceed its cost of capital over the next 10 years.

Around 80% of Vertiv's business stems from the sale of data center hardware and services. It primarily sells thermal and power management products—chock-full of useful acronyms, such as the coolant distribution unit, or CDU, computer room air conditioning, or CRAC, unit, power distribution unit, or PDU, and uninterruptible power supply, or UPS. It also sells data center containment systems like racks, cabinets, closets, and aisles. To aid its customers, Vertiv has a sizable team of expert field engineers that offer services like product training, testing, and inspecting, as well as facility design, maintenance, and remote monitoring.

Thermal and power management systems are essential for the safe and continuous operation of servers that host critical data for enterprises. The malfunctioning of a data center can be extremely destructive, and data center owners are risk averse when selecting suppliers. We estimate that Vertiv's content represents less than 10% of a data center's cost and remains in operation for many years. As a result, we suspect customers do not select thermal and power management products based solely on price,

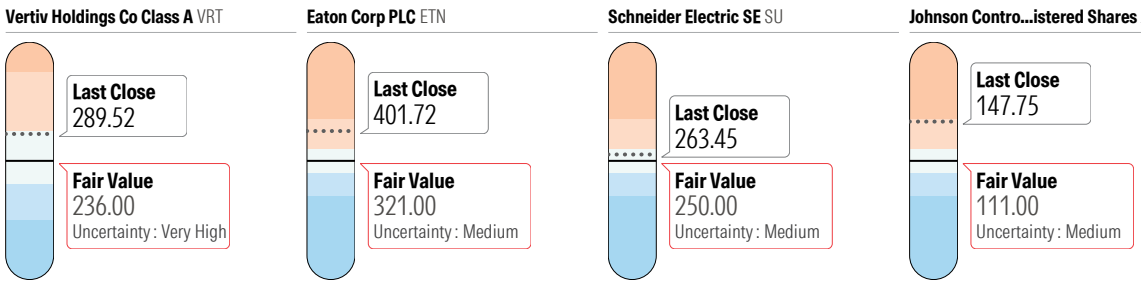
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Competitors



	Vertiv Holdings Co Class A VRT	Eaton Corp PLC ETN	Schneider Electric SE SU	Johnson Contro...istered Shares JCI
Economic Moat	Narrow	Wide	Wide	Narrow
Currency	USD	USD	EUR	USD
Fair Value	236.00 9 Jun 2026 16:39, UTC	321.00 9 Jun 2026 16:29, UTC	250.00 10 Jun 2026 04:14, UTC	111.00 9 Jun 2026 16:29, UTC
1-Star Price	413.00	433.35	337.50	149.85
5-Star Price	118.00	224.70	175.00	77.70
Assessment	Overvalued 10 Jun 2026	Overvalued 9 Jun 2026	Fairly Valued 10 Jun 2026	Overvalued 10 Jun 2026
Morningstar Rating	★★★10 Jun 2026 21:26, UTC	★★9 Jun 2026 05:00, UTC	★★★9 Jun 2026 05:00, UTC	★★9 Jun 2026 05:00, UTC
Analyst	Nicholas Lieb, Equity Analyst	Nicholas Lieb, Equity Analyst	Matthew Donen, Director	George Maglares, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	1.23	1.25	1.05	1.33
Price/Sales	10.44	5.49	3.84	3.81
Price/Book	26.19	7.91	6.28	6.67
Price/Earning	72.74	39.27	36.90	45.32
Dividend Yield	—	1.07%	1.55%	1.06%
Market Cap	107.93 Bil	145.79 Bil	144.99 Bil	85.03 Bil
52-Week Range	107.38—379.94	311.92—435.43	208.80—288.05	100.86—149.10
Investment Style	Large Growth	Large Blend	Large Growth	Mid Growth

instead prioritizing factors such as performance, durability, and customer support. We think Vertiv's intangible assets in the form of brand equity, long-standing customer relationships, and time-tested quality are therefore highly valued within the industry. Its average customer relationship is longer than 20 years, highlighting Vertiv's product success over time.

Vertiv's flagship brand, Liebert, was founded in 1946. It invented the first CRAC in 1965, enabling the precise control of temperature and humidity specific to computer rooms. Vertiv estimates the brand holds number one market share in data center thermal management products over peers Stulz, Johnson Controls, Trane, Daikin, and Legrand. Data center owners value quick and consistent support as downtime can be costly and repairs complex. Industry participants note that Liebert's reliability, longevity, and technical support are second to none, and that some of the equipment Liebert installed in the late 1970s is still in operation today.

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Liebert also sells time-tested PDUs and UPSs that have been developed with customer input over the decades. Vertiv asserts that it holds dominant market share within these two product categories, doubling the share of peers Eaton and Schneider Electric. Overall, Vertiv owns one of the broadest portfolios of data center equipment and has operations around the globe, making it an attractive partner for national and multinational data center developers. Each of its major product lines interact with one another, and brand uniformity makes data center designs and product issues easier for customers to handle.

We think costly downtime and operational redesign deter customers from switching Vertiv's equipment with that of another supplier. The useful life of power and thermal management equipment can respectively exceed 10 and 15 years, and once a piece of Vertiv's equipment is installed, the firm deploys a field engineer to periodically service it. At the end of its useful life, Vertiv's equipment is anticipated to be replaced like-for-like as electrical and thermal systems are carefully specified and cannot be swapped out with equipment from a different supplier without proper testing. We estimate Vertiv derives around one quarter of revenue from these aftermarket services and spares. Moreover, Vertiv's products are becoming more technically complex over time, raising the probability the firm will win lucrative maintenance service contracts over third parties.

Although we think data centers will remain a relevant, utility-like service for decades to come, we are hesitant to award Vertiv a wide economic moat rating given the spending volatility and fast cadence of technological innovation within the data management space.

The remaining one fifth of Vertiv's sales stem from thermal and power management products installed within communication networks and industrial structures. Here, we see the same moat sources at play given the critical nature of Vertiv's products within its customers' operations.

Fair Value and Profit Drivers Nicholas Lieb, CFA, Equity Analyst, 22 Apr 2026

We raise Vertiv's fair value estimate to $236 per share, up from $184 to account for our more bullish outlook on its near-term margins and long-term growth. This equates to around 38 times our estimate of 2026 adjusted earnings.

Vertiv is exposed to a number of supercharged growth drivers, such as the continued buildout of data centers and the rising thermal and power requirements within them. As a base for growth, we expect companies to continue moving their vast and growing swaths of data from on-premises storage to the cloud. Moreover, industry surveys reveal that the average rack density continues to rise as gear such as graphics processing units, or GPUs, are bundled together. Denser racks and faster chips draw more energy and produce more heat, resulting in outsize demand for Vertiv's power and thermal management products, which represent the majority of its revenue.

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We expect Vertiv to outpace the growth of its markets, as it directly interfaces with customers, placing field engineers on customer sites and developing products in lockstep with customer needs. As such, we expect its data center business to grow in the high-teens.

Vertiv's secondary businesses, representing around one-fifth of revenue, sell similar products installed within communication networks and industrial structures. Here, too, we expect above-GDP growth driven by the electrification and industrialization of developed and developing nations.

Combining each of Vertiv's businesses, we model top-line growth in the high teens over our explicit forecast. Operating leverage and internal efficiency gains can propel significant margin expansion, enabling the low-20s compounding of earnings per share.

Risk and Uncertainty Nicholas Lieb, CFA, Equity Analyst, 22 Apr 2026

We assign Vertiv a Very High Morningstar Uncertainty Rating to reflect the rising volatility and unpredictability of the firm's results. Data center customers represent over 80% of the firm's revenue base, and a majority of those sales are from greenfield data center buildouts. Vertiv is therefore sensitive to any change in data center spending, which, although it has historically followed an upward trajectory, is volatile.

More recently, the development of advanced artificial intelligence models has produced positive optionality and lumpiness to data center spending. If it fails to materialize, Vertiv's sales growth and profitability could be directly negatively impacted. Historically, large infrastructure booms become oversupplied, resulting in multiyear periods of muted construction.

As a result of its end-market concentration, we suspect Vertiv generates an outsized proportion of revenue from a few key customers. Hyperscale cloud providers, such as Amazon, Microsoft, Google, and Meta, are rapidly gaining market share in data hosting, but are now taking out debt to finance AI-related projects with somewhat uncertain return profiles. An increasing reliance on a handful of customers could suppress Vertiv's bargaining power and expose the firm to the deterioration of their financial health or individual spending decisions.

The possibility also exists that AI model efficiency and hardware innovations could enable top models to advance without proportional increases in infrastructure, thus flattening growth in infrastructure spending.

Vertiv's risk from an environmental, social, and governance perspective is low. Some of the company's thermal management products contain refrigerants, but it has a clean litigation track record. We would expect any change in regulations to be handled smoothly by Vertiv's long-tenured executive team.

Capital Allocation Nicholas Lieb, CFA, Equity Analyst, 22 Apr 2026

We assign Vertiv a Standard Capital Allocation Rating reflecting its satisfactory balance sheet, sound

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investment decisions, and mixed shareholder distributions. The company's debt management represents a risk to the firm's financial health as its current loan book matures in the next few years and consists of variable-rate loans that subject the company to unpredictable interest rate fluctuations. However, it has plenty of cash on its balance sheet and generates significant free cash flow, helping to mitigate this near-term risk.

Vertiv's current CEO, Giordano Albertazzi, joined Emerson Network Power (now known as Vertiv) in 1998. He has held various roles at the firm, including plant manager, EMEA director, and vice president of sales. We like the handful of acquisitions Vertiv has made since Albertazzi took the reins in 2023. CoolTera and BiXin Energy Technology are of note, remaining within Vertiv's core competencies and helping to fill in the gaps of its thermal management portfolio. The company is able to leverage its global operations and long-standing customer base to scale newly acquired technologies quickly. Prior to 2023, Vertiv's acquisition of E&I Engineering Group and Powerbar Gulf in 2021 for around $2 billion helped to expand the firm's data center offering. Vertiv did, however, pay over 4 times sales for the pair during a frothy equity market peak.

We commend Vertiv for working closely with its customers. The company deploys its cohort of highly skilled field engineers to assist customers with various needs and collect input for product development. This type of direct interfacing tends to raise research and development efficiency and customer stickiness.

Vertiv has issued equity to fund many of its purchases, expanding its share count and diluting shareholders in recent years. We don't mind equity issues so long as they are made when Vertiv's share price trades above our fair value estimate. Vertiv pays a small dividend representing less than 10% of earnings. We think it's reasonable for the company to focus on using excess cash on organic and inorganic investment opportunities, as its markets are fragmented and have a long runway for growth.

Analyst Notes Archive

Vertiv Earnings: Collaborations Support Moat; Uncertainty Remains Very High, but We Raise FVE 28% Nicholas Lieb, CFA,Equity Analyst,22 Apr 2026

Vertiv reported first-quarter sales growth of 30% year over year driven by 53% growth in the Americas region. Management raised EPS guidance significantly, but shares traded down the morning of April 22. Why it matters: Whether Vertiv's elevated artificial intelligence-related sales growth is cyclical or structural remains uncertain. The market is pricing in the latter, but we think reality lies somewhere in the middle. Large infrastructure booms historically become oversupplied, resulting in a multiyear digestion phase with muted construction. Conversely, rack density is rising, which draws more power and produces more heat. This directly benefits Vertiv's power and thermal product suites, which represent the majority of its sales. The bottom line: We raise our fair value estimate for narrow-moat

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Vertiv to $236 per share from $184 to reflect enhanced growth expectations. We reiterate our Very High Uncertainty Rating to reflect the wide range of possibilities for Vertiv's intrinsic value. If AI-related spending slows, the migration of enterprise data to the cloud remains a structural, multidecade trend that acts as a base of demand for Vertiv's equipment. Data centers are becoming more complex, necessitating collaborations between top-tier equipment suppliers. We think this bolsters Vertiv's intangible assets and switching costs. Vertiv's cooling equipment was recently integrated with Caterpillar's natural gas turbines to create on-site energy generation capabilities. Between the lines: Profitability for key AI players has become more visible in recent months, giving us confidence that data center construction can continue. Anthropic's annualized revenue run rate surpassed $30 billion in April, tripling from the end of 2025. It also laid out a route to generate healthy margins. These tools are hosted on hyperscale servers. Amazon CEO Andy Jassy said its capital expenditure spending is supported by commitments from OpenAI and other leading AI providers.

Vertiv Earnings: Record Order Growth Indicates AI Music Is Playing Louder; Uncertainty Rating Raised Nicholas Lieb, CFA,Equity Analyst,12 Feb 2026

Vertiv reported fourth-quarter organic sales growth of 23% year over year, driven by strength in the Americas region. Notably, Vertiv's fourth-quarter order book grew 252% year over year, and its trailing-12-month orders grew 81% versus the prior year, sending shares up nearly 25% on the day. Why it matters: Although Vertiv's organic sales growth decelerated for another quarter, its orders tend to be chunky and are a better indicator of future sales, in our view. Sales in APAC and EMEA declined year over year, but orders accelerated, indicating a return to growth sometime in 2026. Meanwhile, the four biggest hyperscale cloud providers—Amazon, Microsoft, Alphabet, and Meta—each plan to outlay hundreds of billions of dollars in 2026 to continue building data centers. Vertiv is ramping up capital expenditure as a percentage of sales to 3.5%, up from around 2.0%. The bottom line: We raise our fair value estimate for narrow-moat Vertiv to $184 per share, up from $147, reflecting more bullish growth expectations. We also raise our Uncertainty Rating to Very High from High. In our view, a Very High Uncertainty Rating better reflects the rising volatility and unpredictability of Vertiv's results, as well as its reliance on the data center end market. We remain uncertain about the duration and magnitude of artificial intelligence-focused data center spending beyond the early 2030s, which is currently the end of the range for many planned project start dates. Long view: The majority of a firm's intrinsic value is derived from the cash it generates many years into the future. We reiterate that over 80% of Vertiv's sales come from one-time capital projects in a single end market. If data center construction falters, Vertiv's cash generation could evaporate. That being said, we believe Vertiv is an integral player in the data center space, offering top-tier equipment. So long as the spending continues, Vertiv will remain a beneficiary.

Vertiv Earnings: Data Center Buildout Continues; Shares Overvalued Even With Valuation Raised by

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24% Nicholas Lieb, CFA,Equity Analyst,22 Oct 2025

Vertiv's third-quarter organic sales grew 28%, and with 220 basis points of operating margin expansion, its EPS compounded 63% year over year. Results were driven by 43% sales growth within the Americas region. Why it matters: Sales growth decelerated from 35% last quarter, but organic orders are up 60% year over year and 20% quarter over quarter. Artificial intelligence-related data centers necessitate the installation of high-density GPU racks, and Vertiv's suite of air cooling products (representing over one-quarter of sales) is a net beneficiary. Although chip-level cooling is increasingly likely to be performed by liquid solutions, leading-edge server rooms still must be air cooled. Nevertheless, Vertiv has a portfolio of liquid cooling products that we expect to lead the firm's sales growth. The bottom line: We raise our fair value estimate for narrow-moat Vertiv to $147 per share, up from $119, to account for our more bullish growth expectations. We model around 17% top-line growth over the next five years into 11% long-term EBI growth. Vertiv expects to compound its liquid and air cooling sales around 35% and 10%, respectively. Its power management product sales should also grow safely in the double digits. Shares trade at over 50 times forward earnings. Though high, we expect Vertiv's rapid growth and high-quality business to support an above-average valuation. Between the lines: Some investors suspect AI-related stocks are getting frothy given the unproven business economics of AI products and comparisons with historical bubbles. Trying to predict the full duration and magnitude of the data center buildout is futile, but the breakneck growth in spending is likely to continue over at least the next few years, in our view. Regardless of whether AI products are commercially successful or not, enterprises are still in the early stages of cloud migration, which we expect to provide a multidecade runway of growth for Vertiv.

Vertiv Earnings: Red-Hot Data Center Spending Continues; Vertiv Shares Slightly Overheated

Nicholas Lieb, CFA,Equity Analyst,30 Jul 2025

Vertiv reported 34% organic revenue growth and EPS up nearly 80% year over year. Management raised guidance for most metrics, but shares traded flat the morning of July 30. Why it matters: Vertiv shares have experienced elevated volatility in recent quarters, given the explosion in data center spending and the rising pace of product development within the space. AI-related spending continues to accelerate, and we expect the trend to be a significant source of growth for Vertiv's data center business (over 80% of sales) going forward. The full magnitude and duration of the data center buildout remain uncertain. Vertiv will generate lucrative aftermarket revenue for decades to come, even if new construction were to slow, which we don't foresee occurring anytime soon. The bottom line: We raise our fair value estimate approximately 15% to $119 for narrow-moat Vertiv to account for our more bullish outlook on its top-line growth over the next five years. Shares trade slightly overvalued in 2-star territory. Although other data center players, such as Amazon, have recently developed innovative cooling solutions, Vertiv's flagship brand, Liebert, is highly trusted by data center players. We think there is ample demand in the

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Vertiv Holdings Co Class A VRT ★★★ 10 Jun 2026 21:26, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
289.52 USD 9 Jun 2026	236.00 USD 22 Apr 2026 22:55, UTC	1.23	107.93 USD Bil 10 Jun 2026	Narrow	Large Growth	Very High	Standard

space for all strong players to grow. We note Vertiv's High Uncertainty Rating to account for the variability of its growth and therefore the certainty with which we can estimate its intrinsic value. Big picture: We model mid-teens sales growth over our explicit 5-year forecast in addition to 10% long-term EBI growth to account for two trends. First, we expect enterprises to shift their data from on-premise servers to the cloud for many years to come. A complete migration for a large enterprise can take decades. Second, data centers that support AI products draw more power and generate more heat, supporting demand for Vertiv's thermal and power management products that represent around two-thirds of consolidated revenue.

Vertiv: Thermal Management Prowess Is Unchanged After Amazon Unveils Proprietary Cooling Solution Nicholas Lieb, CFA,Equity Analyst,11 Jul 2025

On July 9, Vertiv shares fell around 10% after Amazon's AWS revealed an advanced server with an in-house cooling solution. Shares partially recovered by the end of the trading day. Why it matters: Cooling solutions such as liquid and immersion cooling have taken share in leading-edge data centers from air-powered cooling. Investors are wary that Vertiv could lose ground to new entrants. Although Amazon appears to have developed a proprietary cooling solution in collaboration with NVIDIA, we believe Vertiv's core thermal management products will remain highly relevant within data centers, especially those focused on hosting enterprise data. The data center space contains some of the most leading-edge technology (for example, server and networking equipment). However, we believe thermal and power management, Vertiv's bread and butter, remains closer to the "lagging edge" with longer innovation cycles and a lower risk of obsolescence. The bottom line: Our fair value estimate for narrow-moat Vertiv remains unchanged at $103 per share. Shares briefly fell into 3-star territory but popped back into overvalued status within hours. We think Vertiv remains one of the better ways to capitalize on data center market growth. It has the most extensive thermal management portfolio and has made acquisitions (for example, CoolTera, a liquid cooling provider) to fill the gaps. Many of Vertiv's products and brands are considered best-of-breed. As a base of growth for years to come, enterprises should continue to migrate their data from on-premises servers to the cloud.

Vertiv Earnings: Shares Bounce Back as Red-Hot Data Center Spending Continues Nicholas Lieb, CFA,Equity Analyst,23 Apr 2025

Vertiv's first-quarter 2025 results reported year-over-year organic revenue growth of 25%, and earnings per share up nearly 50%. Moreover, management raised guidance for full-year revenue growth by an additional 3%, sending shares up over 12% by midmorning. Why it matters: Investors are gobbling up Vertiv's shares after a multimonth selloff amid data center spending uncertainty. Semiconductor stock prices were overheated before the most recent selloff, which China's DeepSeek model sparked upon unveiling its groundbreaking efficient AI queries. Vertiv derives most of its revenue from greenfield data center buildouts, and this quarter's results confirm such spending remains elevated. Although capital

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projects are inherently cyclical, the data center buildout has shifted to a structural growth trend in recent decades as enterprises migrate their data to the cloud. The bottom line: We maintain our $103 per share fair value estimate for narrow-moat Vertiv and its shares are undervalued in 4-star territory. We think the stock was vastly oversold in recent months and still has room to catch up to its fair value. It holds leading shares of the thermal and power management markets within data centers, and we recommend the stock for investors looking for exposure to the end market. We maintain our High Morningstar Uncertainty Rating, given Vertiv's concentrated exposure to data centers and rising global economic uncertainties. Coming up: The Trump administration has threatened global tariffs, spurring extreme economic uncertainty. Vertiv is likely to be affected by any additional tariffs, as it has significant manufacturing capacity in Mexico and sources supplies from China. The majority of Vertiv's Chinese operations source locally, and the firm has been adding regional sourcing and manufacturing to complement its existing global supply chain. Optimistically, Vertiv's products have pricing power as they are complex and offer significant value to the customer.

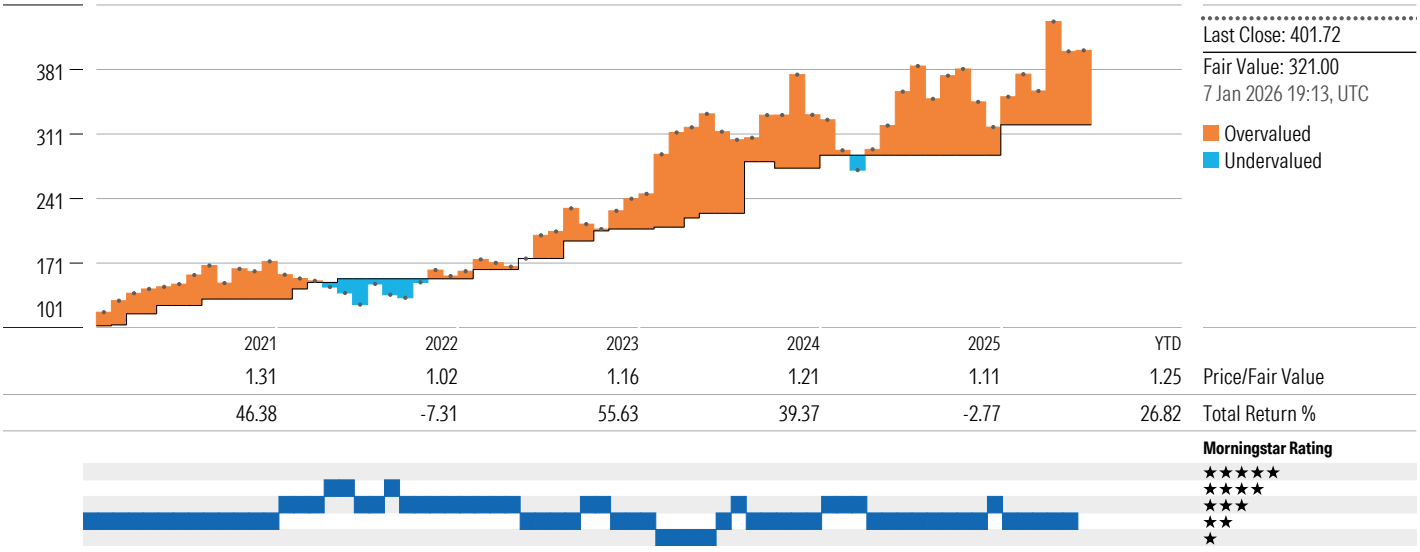
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Competitors Price vs. Fair Value

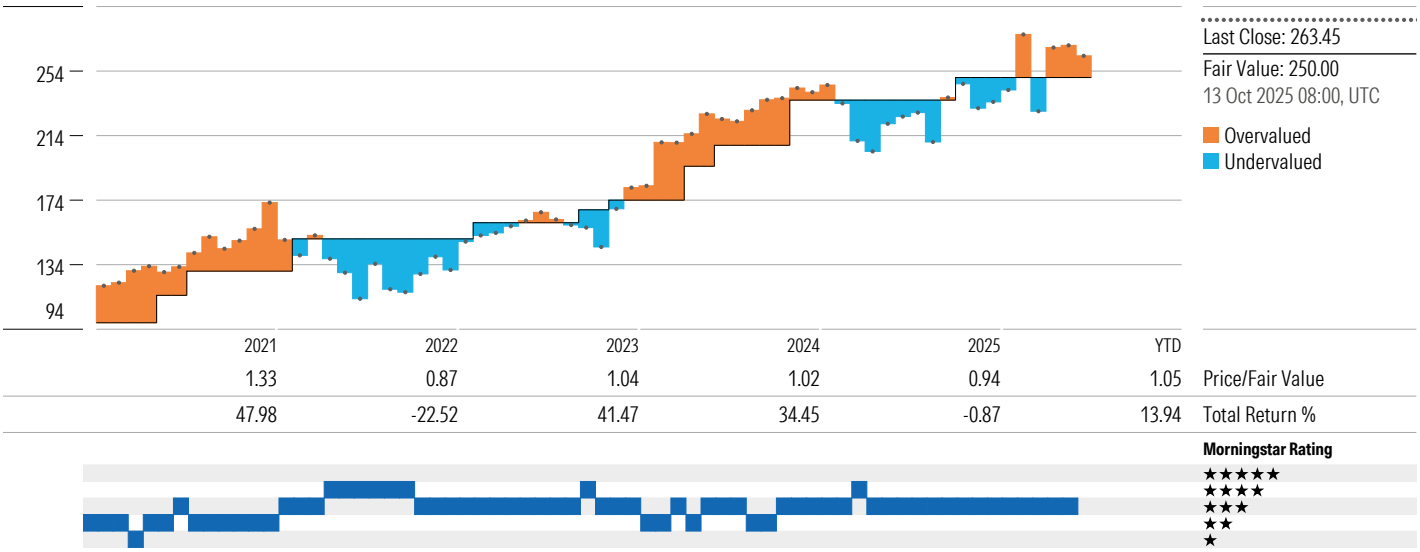
Eaton Corp PLC ETN



	2021	2022	2023	2024	2025	YTD	
	1.31	1.02	1.16	1.21	1.11	1.25	Price/Fair Value
	46.38	-7.31	55.63	39.37	-2.77	26.82	Total Return %

Total Return % as of 09 Jun 2026. Last Close as of 09 Jun 2026. Fair Value as of 7 Jan 2026 19:13, UTC.

Schneider Electric SE SU



	2021	2022	2023	2024	2025	YTD	
	1.33	0.87	1.04	1.02	0.94	1.05	Price/Fair Value
	47.98	-22.52	41.47	34.45	-0.87	13.94	Total Return %

Total Return % as of 09 Jun 2026. Last Close as of 09 Jun 2026. Fair Value as of 13 Oct 2025 08:00, UTC.

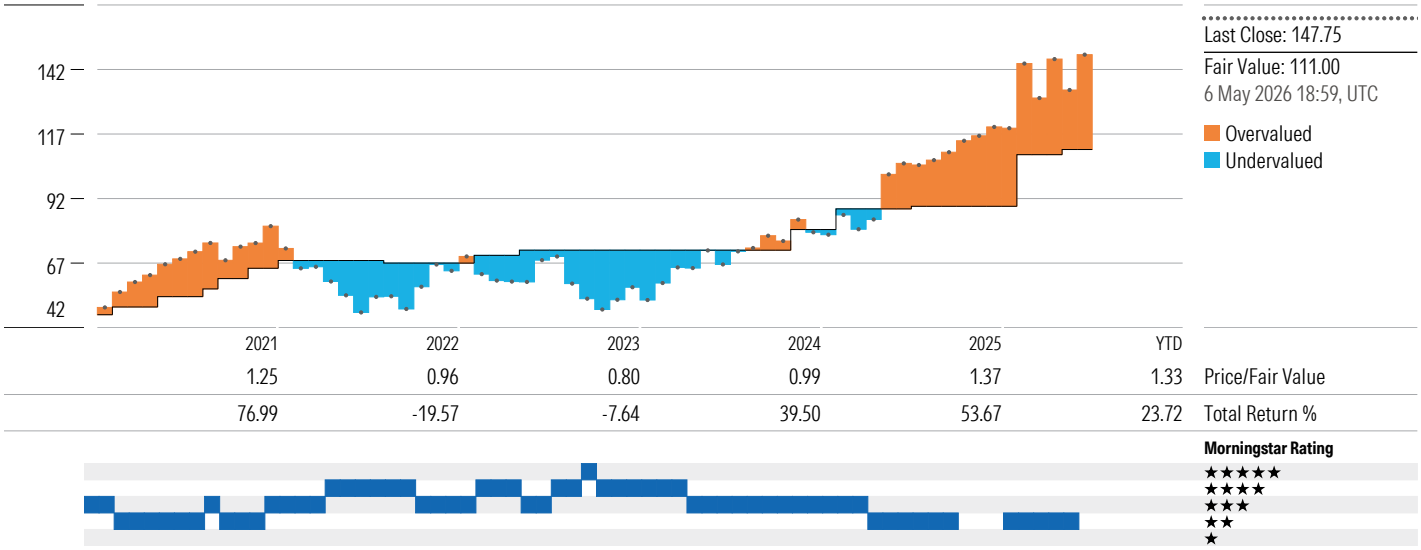
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Competitors Price vs. Fair Value

Johnson Controls International PLC Registered Shares JCI



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.25	0.96	0.80	0.99	1.37	1.33
Total Return %	76.99	-19.57	-7.64	39.50	53.67	23.72

Total Return % as of 09 Jun 2026. Last Close as of 09 Jun 2026. Fair Value as of 6 May 2026 18:59, UTC.

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Morningstar Valuation Model Summary

Financials as of 22 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	6,863	8,012	10,230	13,606	17,687	22,109	26,531	22,552
Operating Income (USD Mil)	1,088	1,560	2,097	3,048	4,183	5,505	6,938	5,333
EBITDA (USD Mil)	1,143	1,644	2,138	3,156	4,146	5,408	6,741	5,180
Adjusted EBITDA (USD Mil)	1,143	1,644	2,138	3,156	4,146	5,408	6,741	5,180
Net Income (USD Mil)	460	496	1,333	2,183	2,816	3,761	4,793	3,619
Adjusted Net Income (USD Mil)	684	1,102	1,643	2,475	2,999	3,944	4,975	3,800
Free Cash Flow To The Firm (USD Mil)	723	632	29	1,481	2,193	3,092	4,132	5,241
Weighted Average Diluted Shares Outstanding (Mil)	386	386	391	390	389	388	387	386
Earnings Per Share (Diluted) (USD)	1.19	1.28	3.41	5.60	7.25	9.70	12.38	9.37
Adjusted Earnings Per Share (Diluted) (USD)	1.77	2.85	4.20	6.35	7.72	10.17	12.85	9.84
Dividends Per Share (USD)	0.02	0.11	0.17	0.34	0.43	0.58	0.74	0.56

Margins & Returns as of 22 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	15.9	15.9	19.5	20.5	22.4	23.7	24.9	26.2	23.7	21.8
EBITDA Margin %	—	16.7	20.5	20.9	23.2	23.4	24.5	25.4	23.0	—
Adjusted EBITDA Margin %	—	16.7	20.5	20.9	23.2	23.4	24.5	25.4	23.0	23.9
Net Margin %	8.6	6.7	6.2	13.0	16.0	15.9	17.0	18.1	16.1	16.6
Adjusted Net Margin %	13.3	10.0	13.8	16.1	18.2	17.0	17.8	18.8	16.9	17.7
Free Cash Flow To The Firm Margin %	6.2	10.5	7.9	0.3	10.9	12.4	14.0	15.6	23.2	15.2

Growth & Ratios as of 22 Apr 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	21.6	20.6	16.7	27.7	33.0	30.0	25.0	20.0	-15.0	17.1
Operating Income Growth %	68.6	148.6	43.4	34.4	45.3	37.3	31.6	26.0	-23.1	20.5
EBITDA Growth %	63.7	117.4	43.8	30.0	47.6	31.4	30.4	24.7	-23.2	22.2
Adjusted EBITDA Growth %	59.6	117.4	43.8	30.0	47.6	31.4	30.4	24.7	-23.2	19.4
Earnings Per Share Growth %	156.4	488.3	7.7	165.8	64.2	29.3	33.9	27.7	-24.3	22.4
Adjusted Earnings Per Share Growth %	156.4	128.9	61.2	47.4	51.1	21.5	31.8	26.4	-23.5	22.4

Valuation as of 22 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	27.1	39.9	38.6	44.2	36.4	27.6	21.9	28.6
Price/Sales	2.7	5.4	6.1	7.9	6.1	4.9	4.1	4.8
Price/Book	9.2	18.0	16.1	19.1	13.4	9.5	6.9	5.8
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	18.3	27.7	29.6	34.4	26.2	20.1	16.1	21.0
EV/EBIT	19.2	29.1	30.2	35.7	26.0	19.7	15.7	20.4
Dividend Yield %	0.0	0.1	0.1	0.1	0.2	0.2	0.3	0.2
Dividend Payout %	1.4	3.8	4.1	5.3	5.6	5.7	5.8	5.7
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 22 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	5.8	5.4	11.0	15.1	16.1	17.5	18.1	12.5
ROE %	22.8	20.4	33.8	38.0	34.6	32.9	30.6	19.2
ROIC %	15.3	19.8	22.2	26.6	30.7	34.1	36.5	26.1

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	14.6	6.9	5.0	2.9	2.7	2.5	2.3	2.1
Assets/Equity	4.0	3.8	3.1	2.5	2.2	1.9	1.7	1.5
Net Debt/EBITDA	2.1	1.2	0.7	0.1	-0.2	-0.5	-0.8	-1.9
Total Debt/EBITDA	2.7	1.9	1.5	0.9	0.7	0.5	0.4	0.6
EBITDA/ Net Interest Expense	6.3	10.9	24.8	39.0	31.9	41.6	51.8	39.8

Forecast Revisions as of 22 Apr 2026	2026		2027		2028	
Prior data as of 11 Feb 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	236.00	184.17	—	—	—	—
Revenue (USD Mil)	13,606	13,299	17,687	17,289	22,109	21,611
Operating Income (USD Mil)	3,048	2,893	4,183	3,976	5,505	5,241
EBITDA (USD Mil)	3,156	2,936	4,146	3,944	5,408	5,148
Net Income (USD Mil)	2,475	1,895	2,999	2,663	3,944	3,565
Earnings Per Share (Diluted) (USD)	5.60	4.87	7.25	6.86	9.70	9.21
Adjusted Earnings Per Share (Diluted) (USD)	6.35	4.87	7.72	6.86	10.17	9.21
Dividends Per Share (USD)	0.34	0.29	0.43	0.41	0.58	0.55

Key Valuation Drivers as of 22 Apr 2026

Cost of Equity %	8.9
Pre-Tax Cost of Debt %	6.3
Weighted Average Cost of Capital %	8.5
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	14.5
Stage II Investment Rate %	40.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 22 Apr 2026

	USD Mil
Present Value Stage I	11,863
Present Value Stage II	20,691
Present Value Stage III	58,394
Total Firm Value	**90,948**
Cash and Equivalents	1,728
Debt	2,913
Other Adjustments	0
Equity Value	**89,764**
Projected Diluted Shares	390
Fair Value per Share (USD)	**236.00**

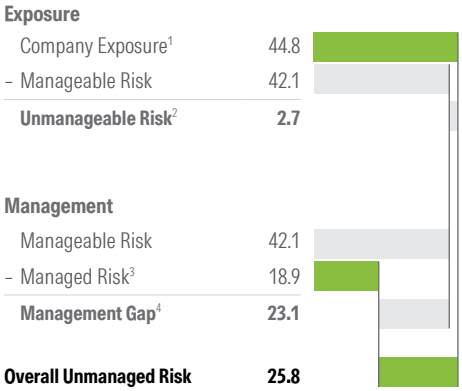
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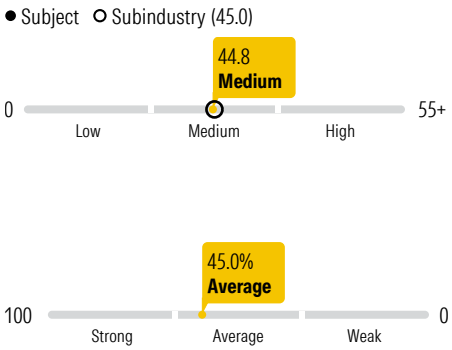
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ESG Risk Rating Breakdown

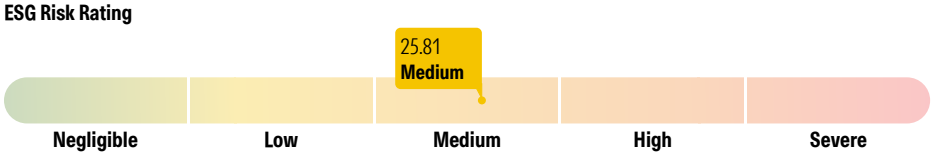




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 06, 2026. Highest Controversy Level is as of Jun 08, 2026. Sustainalytics Subindustry: Electrical Equipment. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 45.0% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 06 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Vertiv Holdings Co	44.8 | Medium	0	55+	45.0 | Average	100	0	25.8 | Medium	0	40+
Progress Software Corp	32.6 | Low	0	55+	41.0 | Average	100	0	20.2 | Medium	0	40+
Eaton Corp PLC	42.8 | Medium	0	55+	57.9 | Strong	100	0	19.4 | Low	0	40+
Johnson Controls International PLC	41.7 | Medium	0	55+	68.2 | Strong	100	0	15.3 | Low	0	40+
Schneider Electric SE	42.4 | Medium	0	55+	88.3 | Strong	100	0	7.1 | Negligible	0	40+

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Appendix

Historical Morningstar Rating

Vertiv Holdings Co Class A VRT 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Eaton Corp PLC ETN 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Schneider Electric SE SU 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Johnson Controls International PLC Registered Shares JCI 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★★	★★	★★	★★	★★	★★	★★	★★★	★★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

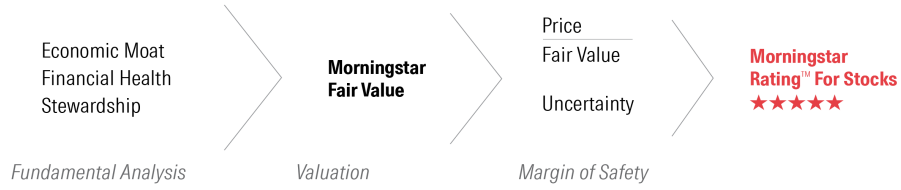
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

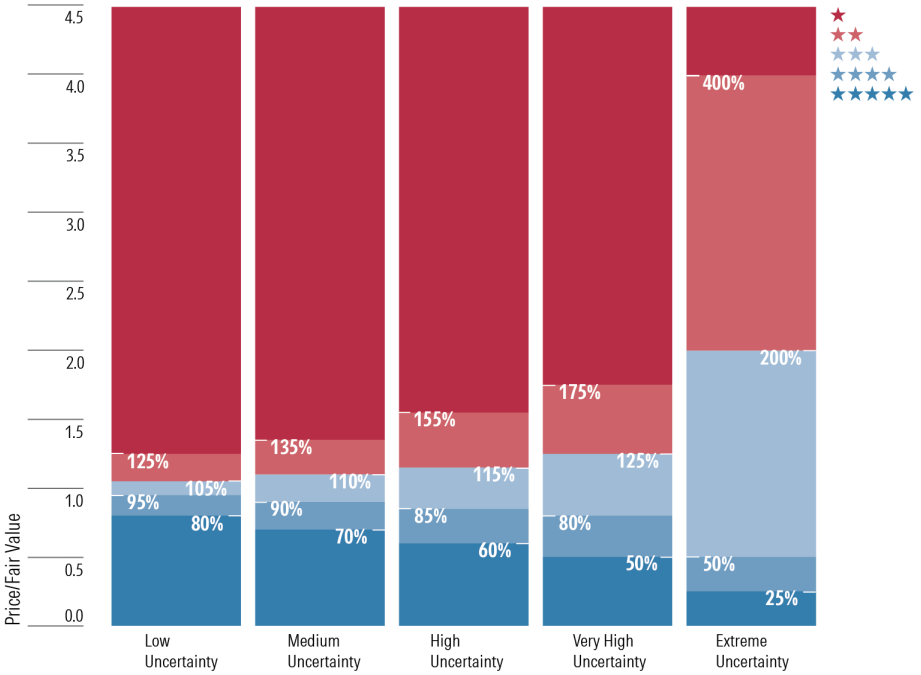
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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